

PREPARED BY ADIL ALVI

ECO401 MIDTERM SUBJECTIVE QUESTIONS 2010-2019

- 1) Equilibrium of oil prices
- 2) Demand curve analysis aesa kuch tha
- 3) Short main firm wala
- 4) Production function long main.

Dec 16, 2019

- 1) Table deya hya tha opportunity cost ko explain krna tha.
- 2) Sunk cost
- 3) explain firms, modern theory
- 4) aik taxation ky about tha

Dec 16, 2019

1. Define marginal rate of substitution
2. Graph tha shortage surplus and equilibrium determine krny thy
3. Command economy and capitalist economy ky characteristic batao
4. Sunk cost define karo with example
5. Demand curve kesy change ho ga

Dec 17, 2019

Q Relationship b/w monopoly power & ~~price~~ price elasticity of Demand

Q Identify the effects of following factors on saving behavior whether savings will rise or fall.

- i) Increase in income
- ii) Increase in interest rate
- iii) Decrease in taxation

Q Following table shows data of Total fixed cost, total variable cost & Total Cost. Calculate marginal cost at each level.

output	Total fixed cost	Total variable cost	Total cost	Marginal
0	20	0	20	
1	20	10	30	

2018

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1. Differentiate between long run and short in economics? 3 marks
2. Scarcity have three basis economic questions regarding resources. So discuss these basic economic questions. 3 mark
3. Briefly explain the rational choices? 3 mark
4. It's a numerical question to find out the average physical product. Table was given. 5 mark
5. It's also numerical question to find out the marginal utility function, firm total utility function. 5 marks
6. This question firm demand curve that if the prices of butter will be increase then what will be effect on equilibrium price? 5 mark.

Dec 9, 2017

Q1. Calculate cross price elasticity.

Qd of good A

1) 90, 2) 150

Price of good B

1) 12, 2) 16

Q2. Difference b/w total utility and marginal utility.

Q3. Books, cost=300, benefit (su) =15

Charity, cost=300, benefit (su) =22

Now Ali want to buy a book. You have to answer that will ail buy book? Why?

Q4. Calculate the Qd and Qs (1000-200P) and (300+150P), p=3.

And also tell is it condition of shortage or surplus?

Q5. use isoquant analysis and draw a graph at optimum consumptions of factors of production

Jun 3, 2017

1. Ahmad is offered a job of an accountant at two cities, one in Lahore and other in Faisalabad. Following table shows the cost & benefit analysis of both jobs. Calculate Net benefit of each job and state which job is more suitable for Ahmad. (3 marks)

	Benefit (Salary)	Cost (transportation)
Job in Lahore	15,460	2,255
Job in Faisalabad	20,580	9,634

2. Differentiate between Average Physical Product (APP) and Marginal Physical Product (MPP) with the help of their formulas? (3 marks)

3. Following figures shows the Production Possibility Curve for the two goods rice & Cotton. Interpret what do the point C, X, & Z shows? (5 marks) es k nechy aik line graph diya howa tha...

4. Given the Total Utility function, $TU = 6Q - 4Q^2$, Complete the following table. (5 marks)

Output(Q)	Total Utility (TU)
1	?
2	?
3	?
4	?
5	?

5. A demand function is given by $Q_d = 400 - 0.5Y$ for an inferior good, where Y is total Income, Calculate Quantity Demanded (Q_d) at following Income levels? (5 marks)

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Income(Y)

100

150

200

250

300

Quantity demanded (Qd)

?

?

?

?

?

Jun 6, 2017

Q: Features of Islamic economic system? (5)

Q: law of demand? (3)

Q: solve the quadric equation in term of product demand: $P_d = 10p + 2p^2$ where $p = 2$ (3)

Q: Price consumption curve? What will be the effect on budget if price goes up? (5)

Q: What is long run and short run? 3 marks

Q: What is differentiate curves and curves complement of good we have to draw a graph? 5 marks

Q: One was 5 marks we have to calculate demand and quantity it was like numerical?

Q: And 3 other was graph one was 2 marks and one was 5 marks and also one was 5 marks.

1) What is optimal consumption formula?

2) What will happen to the equilibrium price and quantity of butter in each of the following cases?

A. A rise in the price of the margarine. $D \nearrow, S \searrow$

B. A rise in the demand for milk. $S \nearrow; D \searrow$ (if milk is a substitute)

C. A rise in the price of bread. $D \searrow$

D. A rise in the demand of bread. $D \nearrow$

E. An expected rise in the price of butter in near future. $S \searrow D \nearrow$

F. A Tax on butter production. $S \searrow$

G. An invention of a new, but expensive, process of removing all cholesterol from butter, plus the passing of law which states that all producers must use this process. $D \nearrow S \searrow$

3) Elastic and inelastic demand,

4) Marginal utility,

5) Law of diminishing marginal utility,

6) Law of diminishing marginal returns,

7) Isoquant,

8) Budget line

9) Draw budget line equation and show its slope and interception? - 5 Marks

10) The Law of Diminishing Marginal Utility

11) Define Engel curve and draw graph

12) Solve the Profit Equation

Profit = TR – TC

$Q_d = 50 - 10p + p^2$

If $P = 2$

13) Find quantity demand and elasticity (5 MARKS)

$Q_d = 60 - 15P + P^2$

$Dq/dp = -15 + 2P$

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IF $P=3$ then

$$Dq/dp = -15 + 2(3) = -15 + 6 = -9 \text{ And } Qd = 60 - 15(3) + (3)^2 = 24$$

$$\text{The formula of elasticity} = (dq / dp) (P/Q) = -9 (3/24) = -1.125$$

13) How isoquants measure scale and scope, isi tarha k tha ek question (5 Marks)

14) Define average variable cost and fixed variable cost (3 marks)

15) Explain the indifference curve with the help of graph. 3 marks

16) Differentiate between price elasticity of demand and price elasticity of supply with the help of their formulas. 3 marks

17) Differentiate between income effect and substitution effect of a price change. 5 marks

18) Although indifference curve approach is very useful in order to analyze the consumer behavior but still there exist some flaws of this approach. Discuss. 5 marks

19) Differentiate between storage and surplus situations.

20) Calculate the following levels if quantity demanded is $Qd=500+0.2Y$. Where the total Income is?

Income (Y)	Levels
100	?
150	?
200	?
250	?
300	?

1- Find Income Elasticity of Demand? Change in Income = 50% and change in Demand is 30% and also tell us which is Elastic or Inelastic? (3)

2- Discuss about Entrepreneurship? (3)

3- Find Equilibrium Quantity and Equilibrium Price? (5)

$$Qd = 100 - 10P$$

$$Qs = 40 + 20P$$

$$Qd = Qs$$

4- Discuss Production Function with Formula? (5)

5- Discuss Scarcity

6- One Numerical on Cross price elasticity.

Dec 21, 2016

1) Social cost and Marginal social cost?

2) Long Run and Short Run?

3) Function are given and Price 2 are also given calculated Surplus and shortage

4) About Budget Line and Slope and intercept of budget line

5) Discuss Relationship between Price and Total Revenue of Elastic and inelastic demand curve

6) Calculate the quantity demanded by quadric equation if $Qd= 1000-200p$. If the price is 3. Also explain the result either elastic / inelastic demand? 5 marks

Jun 6, 2016

1) How monopoly is beneficial for public interest? 3 marks

2) Discuss characteristics of monopoly in market structure? 3 marks

3) ak table diya tha jis ma (TC) diya tha or (MC) marginal cost find karna tha? 5 marks

4) ak table tha jis ma (TU) diya tha or (MU) marginal utility find karna tha? 5 marks

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Dec 26, 2015

- 1) Collusive vs. non collusive oligopoly.
- 2) First degree price discrimination with example.
- 3) Engel curve of a normal good.
- 4) Find Q while $Q=500+0.2Y$. Values provided were a column of Y. The values provided were (Table given at Page#37 of ECO401 Notes) $P=2.5, 5, 10, 20, 40$, $Q=400, 200, 100, 50, 25$
- i) Find TR.
- ii) Interpret either it's elastic, inelastic or unit elastic.
- iii) What's the shape of its demand curve?

Dec 31, 2015

- Q-Difference between short run and long run?
Q-Explain the First degree price discrimination with example?
Q-Explain the characteristic of monopoly market structure with example?
Q- Question related Variable Cost and Fixed Cost?

And

I Think Important Topics are

- 1-Monopoly
- 2-First degree price discrimination.
- 3-Second degree price discrimination.
- 4-Third degree price discrimination.

And

1ST DEGREE Price Discrimination:

In this type, everyone charged according to what he can pay.

2ND DEGREE Price Discrimination:

In this type, different prices charged to customers who purchase different quantities.

3RD DEGREE Price Discrimination:

In this type, seller charge different prices to different customers in different markets.

Jun 26, 2015

- Q What's diff btw fixed cost and variable cost
Q whats differ btw price taking and price making firms
Q Cal AVC (data was given)
Q Cal max profit
Q diminish marginal returns

Jun 24, 2015

3 Question 3 marks:

Q1: Draw the graph of budget line.

Q2: Describe the elasticity. Income Quantity demand 12,000 105 15,000 110

Q3: Describe profit maximization under monopoly.

2 Question 5 marks:

Q1: Describe the equation of budget line? And also describe the slope and intercepts.

Q2: what is Allocative efficiency and productivity efficiency?

Jun 26, 2015

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Questions 3 marks

- 1) SUNK COST with example
- 2) at what point monopoly is same as perfect compition explain with example on the basis of long and short run
- 3) Why would you expect additional advertising dollars spent by a firm to cause smaller and smaller increases in sales? In other words why should advertising suffer from “diminishing returns”?

Questions 5 marks

- 1) THE LAW OF DIMINISHING MARGINAL RETURNS and calculate Marginal physical product (MPP) from the given Average physical labor (APP) The total physical labor (TPP) calculate PROFIT MAXIMIZATION by Given the following equations:

$$TR = 72Q - 2Q^2; TC = 10 + 12Q + 4Q^2$$

- 2) Calculate the maximum profit output and the amount of profit at that output using MR & MC APPROACH

Question 10 marks

$$Q_s = 60 + 15P + P^2$$

- (a) differentiate the given eq with respect to price.
- (b) Price elasticity of supply when the given price is 5.
- (c) Draw the supply curve

Jan 15, 2015

1. Long main price discrimination degrees and points were given to find out the degree's 5
2. To draw a Engel curve graph of normal commodities 5
3. Marginal rate of technical substitution explain 3
4. Difference between equilibrium conditions of perfect competition and monopoly

Jun 12, 2014

- 1:- how monopoly harmful for for the public inyerest? Discuss 3 marks
- 2:- what is cartel explain briefly? 5 marks
- 3:- ik table di howe thi un sy MPP ki value find out krni thi . 5 marks
- 4:- ik or numerical tha but wo yad ni hy thek sy . 3 marks

Jun 12, 2014

- 1: Isocost and budget line.
- 2: Marginal rate of technical substitution.
- 3: Table to find TR and MR
- 4: How monopolistic firms maintain their high prices even in the long run?

Dec 21, 2013

- 1) Define the key ingredients of any market structure?
- 2) What is the relationship between income and elasticity demand of inferior goods?
- 3) What are the profit maximization conditions for competitive business?
- 4) Where a monopolist can spend his profit?
- 5) Write the formula of Price Elasticity of demand and Cross-price Elasticity of demand?

Dec 21, 2013

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2 short and 1 long was from the topic monopoly and 1 question was what is surplus? Consumer surplus.

Dec 26, 2013

1. Economies and Dis economies of Scale
2. Describe characteristics of Oligopoly and Monopoly with examples
3. Income elasticity of demand numerical question
4. Ingredients of Market Structure
5. Point at which Consumer maximize utility while difficult budget constraints

Dec 28, 2013

- 1) What is short run and long run production approach?
- 2) What factors will a businessman consider before opening a firm (location)
- 3) Factors affecting income elasticity of demand
- 4) explain the above given graph, at what point is allocative efficiency achieved
- 5) Is production efficiency achieved? Why?

May 25, 2013

1. Sunk Cost
2. The following table show the physical production of labor, calculate the average physical product of labor from this information. (Marks: 5)

Capital Labor Total Production of Labor

250	10	50
250	20	70.7
250	30	86.6
250	40	100
250	50	111.8

3. Effects of Increase & decrease of price in demand curve

May 31, 2013

- 1) Differentiate between average variable cost and average fixed cost.
 - 2) What is the key difference between the short run and the long run for the profit maximizing firm?
 - 3) Write down any five situations in which cartel can survive?
- 2 question 5 marks
- 4) Differentiate between the shape of demand curve in oligopoly and monopoly.
 - 5) Explain Engel curve for giften commodities with the help of graph.

May 31, 2013

- 1) What is mean by the term "Firm" in economics? (3)
 - 2) what will be the effect of an increase and decrease of a price on total revenue of the firm, if the demand curve is elastic? (3)
 - 3) what is the short and long run under perfect competition? (3)
 - 4) the following are some costs incurred by a shoe manufacturer. Decide whether each one is a fixed cost or a variable cost or has some element of both. (5)
- (a) The cost of leather

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- (b) The fee paid to an advertising agency
- (c) Wear and tear on machinery
- (d) Monthly salary of employ
- (e) Electricity for heating and lighting

-
- 1) Differentiate between the Equilibrium conditions of perfect competitions and monopoly in long run, 3
 - 2) Differentiate between risk and uncertainty with the help of an example 3
 - 3) Suppose a business want to start a new firm. How he will decide about the location for a new firm? Give answer by keeping in view the production side analysis 3
 - 4) how u can calculate the Average physical product of labor. 5

-
- 1) differentiate between equilibrium point of perfect competition and of monopoly?
 - 2) In second question a table was given and you have to calculate the tr.
 - 3) in this question a table was given and you have to find average labor cost per unit.
 - 4) A graph was given and have to explain the graph.
 - 5) A graph was given and you have to explain the graph.

Jun 4, 2013

Both 05 subjective questions were Graph based.

Dec 10, 2012

- 1: why we use percentage change rather than absolute change in elasticity? (Lec 6)]
- 2: characteristics of Perfect and monopolistic competition? (Lec 18 or 21)
- 3: which two things happen when the price of one good change? (4rm Lec 12)
- 4: Maximin strategy and maximax strategy (lec 22)
- 5: last Q.....graph given tha or 3 qs thy unkay answers deny thy... It was related to dis topic "the optimum combination of factors"....

Dec 17, 2012

- 1. What two policies could you use to reduce the total amount of emissions?
- 2. Why do you think they each would work?
- 3. What would the benefits of each action be (besides emissions reduction)?
- 4. What would the costs of each action be?
- 5. How would you decide what was the best level of emission reduction?

May 12, 2012

- 1) Many of them were in form of Graphs & Tables
- 2) What is the relationship between Long run average cost curves and short run average cost curve? (3 Marks)

Monopolistic competition and short run long run (3 Marks)

- 3) Who are the Price taker and Price maker Firms and where they lie in Market Structure (5 Marks)
- 4) There was a graph of Isoquants Constant return to scale and was asked two questions about that (5 Marks)

May 13, 2012

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- 1) different between isocost line and the budget line and make a graph:(5)
 - 2) discuss how monopoly can be retained vu solutions dot com by a monopolist(5)
 - 3) 1 conceptual marginal question(3)
 - 4) ingredients market structure (3)
- total question 32 and mcqs 28

May 16, 2012

- 1) Second degree price discrimination and third degree price dis. Difference with example.
- 2) Optimal level of indifference curve.
- 3) Difference of short run and long run.
- 4) What is similarity between perfect competition and monopoly?

May 23, 2012

- 1) Sunk Cost - 3 Marks
- 2) Maxima and Minima - 5 Marks
- 3) Production function - 5 Marks
- 4) Total and Average Revenue Calculation - 5 Marks

May 14, 2012

- 1) Marginal rates of technical substitutes means?
- 2) Short run equilibrium for perfect competition and monopoly?
- 3) Law of diminishing marginal return with respect to labor and land?
- 4) Who are price maker and taker firm?

May 19, 2012

Q1. Differentiate between indifference map and indifference curve? 5 marks
Q2.What is the shape of demand curve for an inferior good? Explain with the help of graph.
Baki b graps ki help se explain kerny thay but question yad nhe

May 19, 2012

Q No. 29 Suppose you are a farmer and you must decide how many time during the year u will plant a new crop. Furthermore you have to decide how far apart to space the plants. Will diminishing return be a factor in your decision making? If so, how will it affect your decision?

Q No. 30 Identify the factor on which price discrimination can be considered beneficial or harmful for public interest.

Q No.31 The following table shows the total physical product of labor. Calculate APP?

Capital Labor Total production of labor

250	10	50
250	20	70.7
250	30	86.6
250	40	100
250	50	111.8

Q No.32 $TR=100-Q^2$

Prove that the slope of MR is twice steeper than slope of AR.

May 20, 2012

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1) What would be the shape of indifference curve in each of the following?

A. A, B are two brands of the same product, consumer cannot tell the difference whether which is good or preferred.

B. X is good and Y is bad like household refuses.

2) When price discrimination when it would harmful and beneficial for public investment?

3) Characteristics of oligopoly and monopoly?

4) Difference between external economies and external diseconomies?

Dec 7, 2011

Q: 1 why monopolists produce lower quantities at higher prices compared to perfectly competitive firms?

Q: 2 draw indifference curve for two commodities apples and oranges.

Q: 3 (A) why a marginal revenue and price are equal under perfect competition (B) from information given below

$TR = 25Q - Q^2$

calculate marginal revenue and the slope of marginal.

Q: 4 if a consumer facing some budget constraint and having many indifference curves then what will be the optimum point where he can maximize his utility?

Dec 7, 2011

1) 3num ka question difference between monopolists and perfectly competition

2) 3number ka product production

3) 5number ka diagram show kya gya tha monopolist ka diagram the us ki explanation karni thi

4) 5number ka capital = 250 250 250 250 250 250, labor = 10 20 30 40 50 60, tap = 20 33.7 43.8 87.8 100 111.7. mpp nikalna tha

Dec 7, 2011

1) What will be the change in the average physical product when:

a. MPP is equal to APP

b. MPP is greater than APP

c. MPP is less than APP

2) A) equation of budget line. Which part show slope and which part show intercept??

B) Shift in budget line....slope of budget line??

3) Discuss characteristics of monopoly and oligopoly with the help of examples??

4) If supernormal profit in short run monopolistically industry...will there be any diff in long run and short run elasticity demand???

May 19, 2011

Q1. Distinguished b/w second degree and third degree price discrimination (PD) with example? 5marks

Q 2. Engel curve with inferior commodities draw the graph. 5 marks

Q3. IN modern life are firms only acting according traditional theory of firm or they have some other goals as well? 3 marks

Q4. where a monopolist can invest the profit which he earns? 3 marks

May 19, 2011

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Paper = 1

- 1) Define marginal rate of substitution
- 2) Explain price discrimination
- 3) Describe two main theories of production regarding time.
- 4) Verify the diagram with short run monopolistic competition: Reference: Lesson #21

Paper = 2

1. Equation of total revenue (TR) is given below

$$TR = 100Q - Q^2$$

If $Q = 3$ then calculate average revenue and slope of average revenue.

2. Explain the traditional theory of firm with the help of its basic equation.
3. Give the degree of discrimination of the following
 - a. An electric power supply company uses block prices for electric sales.
 - B. An airline company charges different ticket rates to passengers
 - c. Tennis court owner charges different from child and young ones
 - d. Producers sells commodity abroad at lower price and higher price in local market
 - e. Doctor charges high prices to rich than poor.
4. What would be the shape of indifference curve in each of the following?
 - A. A, B are two brands of the same product, consumer cannot tell the difference whether which is good or preferred.
 - B. X is good and Y is bad like household refuses.

May 19, 2011

Long questions are following:

- 1) Discuss how monopoly can be retained by a monopolists? 3 marks
- 2) write equation of Cobb Douglas production function and narrates its components. 3 marks
- 3) how we can achieve optimum combination of factors of production? And how can we achieve optimum combination if $mpp_k/p_k > mppl/pl$. 5 marks
- 4) Why the monopolists produces lower quantities at higher price compared to perfectly competitive firms? 5 marks

Dec 1, 2010

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